

## Suggestion answer

### QUESTION 1

a) Bank reconciliation :

| Coop Mart Enterprise                                  |       |               |  |
|-------------------------------------------------------|-------|---------------|--|
| Bank Reconciliation Statement as at 30 September 2022 |       |               |  |
|                                                       | RM    | RM            |  |
| Cash balance per bank statement                       |       | <b>17,640</b> |  |
| Add : Deposit in Transit                              |       |               |  |
| Rental                                                | 9,000 |               |  |
| JK Sdn Bhd                                            | 3,074 |               |  |
| UJ Sdn Bhd                                            | 3,578 | 15,652        |  |
|                                                       |       | <b>33,292</b> |  |
| Less : Outstanding cheque                             |       |               |  |
| 554682                                                | 2,510 |               |  |
| 554686                                                | 1,908 | 4,418         |  |
|                                                       |       |               |  |
| <b>Adjusted cash balance per bank statement</b>       |       | <b>28,874</b> |  |
| Cash balance per cash book                            |       | <b>25,394</b> |  |
| Add : Commision revenue                               |       | 5,310         |  |
|                                                       |       | <b>30,704</b> |  |
| Less : Standing instruction (insurance)               | 1,600 |               |  |
| Bank charges                                          | 50    |               |  |
| Error : payment understated (CVL Maju Jaya)           | 180   | 1,830         |  |
| (3,316 – 3,136)                                       |       |               |  |
| <b>Adjusted cash balance per cash book</b>            |       | <b>28,874</b> |  |

b) Adjusting entries :

| Date    | Particulars                     | Debit | Credit |
|---------|---------------------------------|-------|--------|
| 2022    |                                 | RM    | RM     |
| Sept 30 | Bank                            | 5,310 |        |
|         | Commission Revenue              |       | 5,310  |
|         | (To record commission received) |       |        |
|         |                                 |       |        |
|         | Insurance expenses              |       |        |
|         | Bank                            |       |        |
|         | (to record insurance expense)   |       |        |
|         |                                 |       |        |
|         | Bank charges                    |       |        |
|         | Bank                            |       |        |
|         | (to record bank service charge) |       |        |

|  |                                               |     |     |
|--|-----------------------------------------------|-----|-----|
|  |                                               |     |     |
|  | Accounts Payable – CVL Maju Jaya              | 180 |     |
|  | Bank                                          |     | 180 |
|  | (to record adjustment of payment understated) |     |     |

(b) (i)  $\text{NET CREDIT SALES} = \text{CREDIT SALES} - \text{SALES RETURN} - \text{SALES DISCOUNT}$   
 $= 72,000 - 1,500 - 500$   
 $= 70,000$

$\text{BAD DEBT EXPENSE} = \text{NET CREDIT SALES} \times \%$   
 $= 70,000 \times 5\%$   
 $= 3,500$

(ii)

General Journal

| Date   | Accounts and explanations      | Debit  | Credit |
|--------|--------------------------------|--------|--------|
| 2021   |                                |        |        |
| Dec 31 | Dr. Accounts Receivable        | 72,000 |        |
|        | Cr. Sales                      |        | 72,000 |
|        | (To record credit sales)       |        |        |
|        |                                |        |        |
|        | Dr. Sales return and allowance | 1,500  |        |
|        | Cr. Accounts Receivable        |        | 1,500  |
|        | (To record sales return)       |        |        |
|        |                                |        |        |
|        | Dr. Sales discount             | 500    |        |
|        | Cr. Accounts Receivable        |        | 500    |
|        | (To record sales discount)     |        |        |
|        |                                |        |        |
|        | Dr. Cash                       | 1,600  |        |
|        | Cr. Sales                      |        | 1,600  |
|        | (To record cash sales)         |        |        |

|  |                                                     |       |       |
|--|-----------------------------------------------------|-------|-------|
|  |                                                     |       |       |
|  | Dr. Allowance for Doubtful Accounts                 | 200   |       |
|  | Cr. Accounts Receivable                             |       | 200   |
|  | (to record write-off of bad debt)                   |       |       |
|  |                                                     |       |       |
|  | Dr. Accounts Receivable                             | 1,000 |       |
|  | Cr. Allowance for Doubtful Accounts                 |       | 1,000 |
|  | (To record reversal of write-off / to reinstate AR) |       |       |
|  |                                                     |       |       |
|  | Dr. Cash                                            | 1,000 |       |
|  | Cr. Accounts Receivable                             |       | 1,000 |
|  | (To record receipt from AR)                         |       |       |
|  |                                                     |       |       |
|  | Adjustment entry:                                   |       |       |
|  | Dr. Bad Debts Expense                               | 3,500 |       |
|  | Cr. Allowance for Doubtful Accounts                 |       | 3,500 |
|  | (To record bad debt expenses)                       |       |       |

(iii)

**Allowance for Doubtful Accounts**

| 2021   |                     | <u>RM</u>    | 2021   |                     | <u>RM</u>    |
|--------|---------------------|--------------|--------|---------------------|--------------|
|        | Accounts Receivable | 200          | Jan 1  | Balance b/f         | 3,000        |
|        |                     |              | Dec 31 | Accounts Receivable | 1,000        |
| Dec 31 | <b>Balance c/f</b>  | <b>7,300</b> |        | Bad Debts Expense   | 3,500        |
|        |                     |              |        |                     |              |
|        |                     | <u>7,500</u> |        |                     | <u>7,500</u> |

(iv)

|                                     |
|-------------------------------------|
| Lavender Enterprise                 |
| Statement of Profit or Loss         |
| For the year ended 31 December 2021 |

|                          | <u><b>RM</b></u> | <u><b>RM</b></u>    |
|--------------------------|------------------|---------------------|
| Sales (72,000 + 1,600)   | 73,600           |                     |
| -Sales return            | (1,500)          |                     |
| -Sales discount          | <u>(500)</u>     |                     |
| Net sales                |                  | 71,600              |
| (-) Cost of goods sold   |                  | <u>(54,000)</u>     |
| Gross profit             |                  | 17,600              |
| (-) Operating expenses:  |                  |                     |
| Bad Debt Expense         | 3,500            |                     |
| Other Expenses           | <u>5,000</u>     |                     |
| Total operating expenses |                  | <u>(8,500)</u>      |
| Net Profit               |                  | <u><b>9,100</b></u> |

(v)

|                                               |                  |
|-----------------------------------------------|------------------|
| Lavender Enterprise                           |                  |
| Statement of Financial Position (extract)     |                  |
| As at 31 December 2021                        |                  |
|                                               |                  |
| <b>Current Assets</b>                         | <u><b>RM</b></u> |
| Accounts Receivable (bal c/f)                 | 38,000           |
| (-) Allowance for Doubtful Accounts (bal c/f) | <u>(7,300)</u>   |
| Net realizable value                          | <u>30,700</u>    |

## QUESTION 2

### (i) Perpetual Inventory Record (LIFO)

| Date           | Purchase |        |       | Cost of goods sold                      |        |       | Balance                        |        |              |
|----------------|----------|--------|-------|-----------------------------------------|--------|-------|--------------------------------|--------|--------------|
|                | unit     | cost/u | RM    | unit                                    | cost/u | RM    | unit                           | cost/u | RM           |
| 2022<br>June 1 |          |        |       |                                         |        |       | 10                             | 30     | 300          |
| 5              | 100      | 31     | 3,100 |                                         |        |       | 10                             | 30     | 300          |
|                |          |        |       |                                         |        |       | <u>100</u>                     | 31     | <u>3,100</u> |
|                |          |        |       |                                         |        |       | 110                            |        | 3,400        |
| 8              |          |        |       | 70                                      | 31     | 2,170 | 10                             | 30     | 300          |
|                |          |        |       |                                         |        |       | <u>30</u>                      | 31     | <u>930</u>   |
|                |          |        |       |                                         |        |       | 40                             |        | 1,230        |
| 10             | 110      | 32     | 3,520 |                                         |        |       | 10                             | 30     | 300          |
|                |          |        |       |                                         |        |       | 30                             | 31     | 930          |
|                |          |        |       |                                         |        |       | <u>110</u>                     | 32     | <u>3,520</u> |
|                |          |        |       |                                         |        |       | 150                            |        | 4,750        |
| 16             |          |        |       | 110                                     | 32     | 3,520 | 10                             | 30     | 300          |
|                |          |        |       | 10                                      | 31     | 310   | <u>20</u>                      | 31     | <u>620</u>   |
|                |          |        |       |                                         |        |       | 30                             |        | 920          |
| 25             |          |        |       | 15                                      | 31     | 465   | 10                             | 30     | 300          |
|                |          |        |       |                                         |        |       | 5                              | 31     | <u>155</u>   |
|                |          |        |       |                                         |        |       | 15                             |        | 455          |
|                |          |        |       | <b>Cost of goods sold =<br/>RM6,465</b> |        |       | <b>Ending inventory =RM455</b> |        |              |

### ii. Journal

|                 |                                  |         |         |
|-----------------|----------------------------------|---------|---------|
| 2022<br>16 June | Cash/Accounts Receivable<br>Sale | RM6 000 | RM6 000 |
|                 | Cost of goods sold<br>Inventory  | RM3 830 | RM3 830 |

### iii. Periodic (FIFO)

Ending Inventory unit =  $10 + 210 - 205 = 15$  units

Ending Inventory Cost =  $15 \text{ units} \times \text{RM}32 = \text{RM}480$

### QUESTION 3

A.

|                                                                                                              |                                    |         |         |
|--------------------------------------------------------------------------------------------------------------|------------------------------------|---------|---------|
| i. Depreciation expense = $\frac{\text{RM75,000} - \text{RM5,000}}{5} \times \frac{9}{12} = \text{RM10,500}$ |                                    |         |         |
| <b>(2 marks)</b>                                                                                             |                                    |         |         |
| ii. Date                                                                                                     | Items                              | Dr (RM) | Cr (RM) |
| 2021                                                                                                         | Depreciation expense – vehicle     | 10,500  |         |
| 31 Dec                                                                                                       | Accumulated depreciation - vehicle |         | 10,500  |
| <b>(2 marks)</b>                                                                                             |                                    |         |         |

B.

| Date                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            | Items                                                                               | Dr (RM)                  | Cr (RM)        |      |                      |                          |            |   |  |  |        |      |                         |       |        |      |                         |       |        |      |                         |        |        |
|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------|--------------------------|----------------|------|----------------------|--------------------------|------------|---|--|--|--------|------|-------------------------|-------|--------|------|-------------------------|-------|--------|------|-------------------------|--------|--------|
| 2021<br>15 July                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                 | Cash<br>Accumulated depreciation – equipment<br>Gain on disposal<br>Equipment<br>** | 30,000<br>**10,840       | *840<br>40,000 |      |                      |                          |            |   |  |  |        |      |                         |       |        |      |                         |       |        |      |                         |        |        |
| <table border="1" style="width: 100%; border-collapse: collapse;"> <thead> <tr> <th>Year</th><th>Depreciation expense</th><th>Accumulated depreciation</th><th>Book value</th></tr> </thead> <tbody> <tr> <td>-</td><td></td><td></td><td>40,000</td></tr> <tr> <td>2018</td><td>10% x 40,000<br/>= 4,000</td><td>4,000</td><td>36,000</td></tr> <tr> <td>2019</td><td>10% x 36,000<br/>= 3,600</td><td>7,600</td><td>32,400</td></tr> <tr> <td>2020</td><td>10% x 32,400<br/>= 3,240</td><td>10,840</td><td>29,160</td></tr> </tbody> </table> |                                                                                     |                          |                | Year | Depreciation expense | Accumulated depreciation | Book value | - |  |  | 40,000 | 2018 | 10% x 40,000<br>= 4,000 | 4,000 | 36,000 | 2019 | 10% x 36,000<br>= 3,600 | 7,600 | 32,400 | 2020 | 10% x 32,400<br>= 3,240 | 10,840 | 29,160 |
| Year                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            | Depreciation expense                                                                | Accumulated depreciation | Book value     |      |                      |                          |            |   |  |  |        |      |                         |       |        |      |                         |       |        |      |                         |        |        |
| -                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                               |                                                                                     |                          | 40,000         |      |                      |                          |            |   |  |  |        |      |                         |       |        |      |                         |       |        |      |                         |        |        |
| 2018                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            | 10% x 40,000<br>= 4,000                                                             | 4,000                    | 36,000         |      |                      |                          |            |   |  |  |        |      |                         |       |        |      |                         |       |        |      |                         |        |        |
| 2019                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            | 10% x 36,000<br>= 3,600                                                             | 7,600                    | 32,400         |      |                      |                          |            |   |  |  |        |      |                         |       |        |      |                         |       |        |      |                         |        |        |
| 2020                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            | 10% x 32,400<br>= 3,240                                                             | 10,840                   | 29,160         |      |                      |                          |            |   |  |  |        |      |                         |       |        |      |                         |       |        |      |                         |        |        |
| *Gain/Loss = Selling price – book value<br>= RM30,000 – 29,160<br>= RM840 (Gain)                                                                                                                                                                                                                                                                                                                                                                                                                                                                |                                                                                     |                          |                |      |                      |                          |            |   |  |  |        |      |                         |       |        |      |                         |       |        |      |                         |        |        |
| <b>(5.5 marks)</b>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              |                                                                                     |                          |                |      |                      |                          |            |   |  |  |        |      |                         |       |        |      |                         |       |        |      |                         |        |        |

C.

| Date             | Items                                                                                                              | Dr (RM)                      | Cr (RM)          |
|------------------|--------------------------------------------------------------------------------------------------------------------|------------------------------|------------------|
| 2021<br>1 Sept   | Depreciation expense – Machine (old)<br>Accumulated depreciation – Machine (old)                                   | 3,000                        | 3,000            |
| <b>(2 marks)</b> |                                                                                                                    |                              |                  |
|                  | Machine (New)<br>Accumulated depreciation – Machine (old)<br>Loss on disposal<br>Machine<br>Cash (40,000 – 25,000) | 40,000<br>**11,625<br>*8,375 | 45,000<br>15,000 |

|                                                                                            |                                  |                          |            |  |  |
|--------------------------------------------------------------------------------------------|----------------------------------|--------------------------|------------|--|--|
| **                                                                                         |                                  |                          |            |  |  |
| Year                                                                                       | Depreciation expense             | Accumulated depreciation | Book value |  |  |
| -                                                                                          |                                  |                          | 45,000     |  |  |
| 2019                                                                                       | 10% x 45,000 x 11/12<br>= 4,125✓ | 4,125                    | 40,875     |  |  |
| 2020                                                                                       | 10% x 45,000<br>= 4,500✓         | 8,625                    | 36,375     |  |  |
| 2021                                                                                       | 10% x 45,000 x 8/12<br>= 3,000✓  | 11,625                   | 33,375     |  |  |
| *Gain/Loss = Book value – Trade in allowance<br>= RM33,375 – 25,000<br>= RM8,375 (Loss) ✓✓ |                                  |                          |            |  |  |
| <b>(6.5 marks)</b>                                                                         |                                  |                          |            |  |  |

ii)

Kiara Sdn Bhd  
Statement of Financial Position  
As at 31 December 2021✓

|                                                                                   |                                      |
|-----------------------------------------------------------------------------------|--------------------------------------|
|                                                                                   | RM                                   |
| Non-current Assets:                                                               |                                      |
| Machine (RM200,000 – RM45,000 + <b>RM40,000</b> )                                 | <b>195,000</b> ✓                     |
| Accumulated Depreciation ( RM80,000 – RM11,625<br><b>+RM1333+RM15500+RM3000</b> ) | <u>(88208)</u> ✓<br><b>106,792</b> ✓ |
|                                                                                   | <b>(2 marks)</b>                     |

## QUESTION 4

4a

|          |                             |               |           |
|----------|-----------------------------|---------------|-----------|
| i)       |                             |               |           |
| 25/3/21  | Cash/bank/acc receivable    | 12,500✓       |           |
|          | Sales                       |               | 12,500✓   |
|          |                             |               |           |
|          | Warranty expense (3%*12500) | 375✓✓         |           |
|          | Warranty payable            |               | 375✓      |
|          |                             |               |           |
| 1/9/21   | Vehicle                     | 120,000✓      |           |
|          | Cash                        |               | 12,000✓   |
|          | Notes Payable (120k-12k)    |               | 108,000✓✓ |
|          |                             |               |           |
| 22/10/21 | Warranty payable            | 300✓          |           |
|          | Cash/bank                   |               | 300✓      |
|          |                             |               |           |
|          |                             | ✓11 x ½ = 5.5 |           |

|          |                                                      |          |                |
|----------|------------------------------------------------------|----------|----------------|
| ii)      |                                                      |          |                |
| 31/12/21 | Interest expense (4%*108k*4/12)                      | 1,440✓✓✓ |                |
|          | Interest payable                                     |          | 1,440✓         |
|          | $\sqrt{4} \times \frac{1}{2} = 2$                    |          |                |
|          |                                                      |          |                |
| iii)     | Statement of financial position<br>As at 31 Dec 2021 |          |                |
|          | Non-current liabilities                              |          |                |
|          | Notes payable (108000-10800)                         |          | 97,200✓✓       |
|          | Current liabilities                                  |          |                |
|          | Notes payable (108000/5/2)                           | 10,800✓✓ |                |
|          |                                                      | ✓        |                |
|          | Warranty payable (375-300)                           | 75✓✓     |                |
|          | Interest payable                                     | 1,440✓   | 12,315         |
|          |                                                      |          | <u>109,515</u> |
|          | $\sqrt{8} \times \frac{1}{2} = 4$                    |          |                |
| iv)      |                                                      |          |                |
| 1/3/22   | Notes payable(108k/5/2)                              | 10,800✓✓ |                |
|          | Interest payable                                     | 1,440✓   |                |
|          | Interest expense (4%*108k*2/12)                      | 720✓✓✓   |                |
|          | Bank                                                 |          | 12,960✓        |
|          | $\sqrt{7} \times \frac{1}{2} = 3.$                   |          |                |
| v)       |                                                      |          |                |
| 1/9/22   | Notes payable(108k/5/2)                              | 10,800✓✓ |                |
|          | Interest expense (4%*108k*6/12)                      | 2,160✓✓✓ |                |
|          | Bank                                                 |          | 12,960✓        |
|          | $\sqrt{6} \times \frac{1}{2} = 3$                    |          |                |

4(b)(i)

**Susan's Events Enterprise**  
**Statement of Changes in Equity**  
**For the year ended 31 December 2021✓**

|                                              |                |     |
|----------------------------------------------|----------------|-----|
|                                              | <u>RM</u>      |     |
| Capital, 1 January 2021                      | 410,000*       | ✓✓✓ |
| + Net Profit                                 | 350,000        | ✓   |
| Additional investment / Owner's Contribution | 150,000        | ✓   |
|                                              | <u>910,000</u> |     |
| Less: Drawings                               | (110,000)      | ✓   |
| Capital, 31 December 2021                    | <u>800,000</u> | ✓   |

\*RM410,000 = RM200,000 + RM330,000 – RM120,000  
(8 ✓ x ½ marks = 4 marks)



4(b)(ii)

**Maison Company**  
**Statement of Changes in Equity**  
**For The Year Ended 31 December 2021✓**  
**(‘000)**

|                            | Common<br>Shares | Preference<br>Shares | Retained<br>Earnings | Total     |
|----------------------------|------------------|----------------------|----------------------|-----------|
| Balance as at 31 Dec. 2020 | 120,000/         | 80,000/              | 35,000/              | 235,000/  |
| Profit for the year        |                  |                      | 27,000/              | 27,000/   |
| Shares issued              | 20,000*//        |                      |                      | 20,000/   |
| Dividends                  |                  |                      | (2,000)**<br>///     | (2,000) / |
| Balance as at 31 Dec. 2021 | 140,000/         | 80,000/              | 60,000/              | 280,000/  |

\*20,000,000 = (140,000,000 - 120,000,000)

\*\*2,000,000 = (35,000,000 + 27,000,000 – 60,000,000)

**(18 ✓ x ½ = 9 marks)**